

easy; it is to make sure that there is relevant data in the room when it comes time to decide.

Remember, at this point David has had many customer conversations. He has plenty of learning that he can use to rationalize the failure he has experienced with the current product. That's exactly what many entrepreneurs do. In Silicon Valley, we call this experience getting stuck in the land of the living dead. It happens when a company has achieved a modicum of success—just enough to stay alive—but is not living up to the expectations of its founders and investors. Such companies are a terrible drain of human energy. Out of loyalty, the employees and founders don't want to give in; they feel that success might be just around the corner.

David had two advantages that helped him avoid this fate:

1. Despite being committed to a significant vision, he had done his best to launch early and iterate. Thus, he was facing a pivot or persevere moment just eight months into the life of his company. The more money, time, and creative energy that has been sunk into an idea, the harder it is to pivot. David had done well to avoid that trap.
2. David had identified his leap-of-faith questions explicitly at the outset and, more important, had made quantitative predictions about each of them. It would not have been difficult for him to declare success retroactively from that initial venture. After all, some of his metrics, such as activation, were doing quite well. In terms of gross metrics such as total usage, the company had positive growth. It is only because David focused on actionable metrics for each of his leap-of-faith questions that he was able to accept that his company was failing. In addition, because David had not wasted energy on premature PR, he was able to make this determination without public embarrassment or distraction.

Failure is a prerequisite to learning. The problem with the notion of shipping a product and then seeing what happens is that you are